

their story-based ways. Evidence has a hard time entering the decision-making process once a behavior has been established.

Evidence-Based Investing

Think you are different from a pigeon? Pigeons aren't the only animals suffering from story bias. Wes's uncle is convinced that a Dallas Cowboys victory during the Thanksgiving Day football game is a great signal for the stock market. The logic is as follows: The Cowboys are “America's Team” and if America's Team is doing well, people are happier and they spend more money. Wes's uncle really believes in this story, despite the consistent reminder he receives from all of our wives, who are life-long Eagles fans, and who highlight the evidence: Since the turn of the century, the Cowboys prediction measure is batting 9/14, or 64 percent. This means that over the past 14 years, when the Cowboys win the Thanksgiving game, 9 times out of 14 the market was positive the following year (see [Table 4.1](#)). This sounds pretty good until you consider that over the past 87 years (1927 to 2013) there is a 72.4 percent chance the market is positive. Clearly, the Cowboys indicator is bunk.